



Pricing strategy of cab aggregators in India

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Abstract

Cab aggregators are making rapid waves across India and the world. Ola and Uber have seized the opportunity with both the hands through startup and stand up India campaign to tap the potential of the Indian market. The article critically evaluates the pricing strategy employed by Ola and Uber in India, from an economic perspective. It underlines surge pricing as a strategic business tool vis-à-vis revenue management model and analyses the reasons behind it, including challenges to its application from a legal and a consumer standpoint. It also dwells on the alternative mechanisms such as ‘concealed’ surge pricing, and the effect of such selective pricing on actual demand and supply of cabs on the road and driver incentives. Finally, it prescribes policy solutions, and outlines future questions which can be derived from this study.

Keywords Cab aggregators · Pricing policy · Revenue management incentives

Introduction

Oligopoly is the most fearsome market where firms face intensive competition to acquire a great portion of the market share. A price war is quite common among the firms operating under oligopoly and cab aggregators are no exception to this rule. Firms should ideally compete on the basis of product differentiation, non-price competition and selling costs to woo the customers to their fold. Uber and Ola made inroads into a highly cut-throat cab market with their predatory pricing to fend off the incumbent rivals such as Meru, Radio Taxi, etc. In the process they also consolidate their position in the market through acquisitions, as seen in China where Didi Chuxing acquired Uber. Of course, Didi is now the most valuable startup ride-hailing after pushing Uber out of the market.

Price of their service is economical in comparison to the unmetered autos of the Indian cities. In fact, they brought a paradigm shift in the entire landscape of cab service in India. They deployed cutting edge technologies, thanks to their war

chest to attract committed customers through their mobile applications and enjoy the trust and good will of the public.

The article focuses on pricing strategy of cab aggregators and how it impacts the various stakeholders such as competitors’ customers, chauffeurs, and regulators. The data collected for the study are from various secondary sources of published business news and websites. The collected data are tabulated and simple and meaningful analysis is applied to arrive at logical conclusions.

Literature review

Pricing has always been an esoteric concept not only for the non business laypersons but also for those who deal with pricing and revenue management in practice (Kispál-Vitai 2018; Von Martens and Hilbert 2011). Setting the prices for products and services are equally challenging, however, services pricing poses some unique challenges. Price discrimination is most commonly used technique in monopoly and oligopoly which depends heavily on the customers’ valuation i.e., customers’ willingness-to-pay (WTP). Consumers’ uncertainty on WTP is usually ignored by the marketers (Wang and Hu 2018). In such a situation, where WTP is less accounted for, going for dynamic pricing becomes difficult to manage as one of the revenue management mechanism as it requires mighty distribution capabilities (Wittman and

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Belobaba 2018). Indian cab market is also experiencing these complexities with recent surge pricing strategy.

The cab aggregators have become extremely popular in the recent years in India. The growing demand for the service calls for improvement in customer satisfaction and quality of service in an innovative strategy to drive the business agenda (Venkatesh and Easaw 2015). The key to success lies in engaging a long term relationship with the customers, thereby ensuring profitability through the loyalty of the customers (Malik and Bansal 2017). Redesigning the service quality of Ola is to ensure customers satisfaction and to take on the competitors as well (Kalla and Purohit 2017). Cab aggregation model is the best available model to capture the huge demand and to experience an impressive growth rate (Rao and Alexander 2017). The changing paradigm of the cab industry in India is heading for a radiant future and there is a need for a regulatory environment to keep pace with ever changing market needs (Karunakar 2016). Uber has redefined the mode of transportation through its innovative model and excessive data algorithms. However, it has been tough going for Uber given the huge competition and legal obstacles (Bhaskar 2017). Thus, there are studies on customer satisfaction, service quality, and models of cab aggregators. But there are hardly any studies on pricing strategy on cab aggregators. The current study is to bridge the gap by focusing on pricing strategies adopted by cab aggregators in India.

Uber Technologies Inc. is a global taxi technology company headquartered in San Francisco and was founded in 2009. It is the most valuable startup from Silicon Valley, worth more than US \$10 billion. It provides e-commerce services for customers across the world through its web and mobile-based travel application. Once hailed as a classic disrupter of an outdated taxi industry it has now slumped to a beleaguered position due to accusations of sexual harassment, stealing trade secrets and profiteering off protests through its controversial pricing resulting in customers simply shifting to its biggest rival, Lyft. Uber reckons that India is one of the biggest markets after US and will aggressively invest in the market despite the cost factor and loss of income. In short, the operations in India are not profitable even though after Uber accounts for more than 10% of all the global trips. It barely accounts for less than 1% miles driven in the world, considering the fact that it is a viable alternative to taxis. It embarks to be an alternative to car ownership in a country like India. For capturing a greater market share in two bigger markets like India and Latin America, Uber needs to invest heavily from its current position which is less than 1% of \$ 5 trillion transport industry.

Ola is the trade name for ANI Technologies Private Limited, an Indian online transportation network company based out of Bangalore and founded in 2010. It boasts of 125 million registered users in India across more than 110 cities. Ola

has seen addressing marketing needs quickly by launching a lighter version of its mobile website to help customers in Tier –II and Tier-III cities given the low speed of internet connectivity (Panigrahi et al. 2018). It has even added a new offline booking feature that allows a customer to book a cab using text message service. It left no stone unturned with Uber seen breathing over its neck at least in top seven cities. It has expanded in overseas markets of Perth and Sydney during the months of February and March 2018, with plans to begin operations in Australia by early 2018. It has to compete with Uber, along with Australian based cab-hailing Go Catch and a new entrant Taxify. Table 1 clearly shows that Ola has upper hand over Uber in India. This is due to the aggressive expansion of Ola in all major cities of India.

Uber's contention that it is virtual taxi-stand at a digital marketplace by linking passengers with cabs together by declaring itself as a—gasp!—taxi company. This assertion is akin to online retailers. The fact is that owning a car is much more expensive than hiring an Ola or an Uber, and the ever-increasing demand for cabs with no corresponding supply has led to a platform for “surge” or demand-based pricing.

The pricing strategy

Price discovery plays a critical role in determining the price of a good or service. During chronic shortage in supply of onions, tomatoes, or pulses or any economic good, the Indian consumers are seen either paying through the nose or not buying them at all. Airfares work on this very dynamic principle, especially during peak times. In September 2016, the government of India took a unique step of using the surge pricing policy in Indian railways, where the fares of *Rajdhani* and *Shatabdi* trains will increase with every 10% of capacity filled, because of which the revenue would go up by about 35%. The cab aggregators need to resort to surge pricing to arrive at the new market equilibrium. It does help them to fully utilize the idle capacity on the road and provide incentives for the drivers to earn more by operating in areas with higher demand. Moreover a driver has to cope with the high cost of driving especially when driving either

Table 1 Who stands where in India? Source: *Business Standard*, January 20, 2018, p. 1

	Uber	Ola
No. of trips (daily)	Over 1 mn	Over 2 mn
No. of driver partners	500,000	800,000
No. of cities	29	110
Funding	\$1.25–1.3 bn	\$2 bn
Profit projection	Not known	Profitable by FY19 & \$1 bn profit by 2021



late in the night or early in the morning. Similarly drivers are reluctant to ferry passengers to a busy public place or locality weathering heavy traffic jams involving a huge cost for them. Thus the surge pricing strategy helps in the reallocation of resources across time and space which is impossible under a static pricing strategy. The efficient demand management can also be ensured through surge pricing by sorting out people on the basis of opting out an alternative mode of transport or to wait for the surge to abate. Others, who are willing to pay higher surge prices value their time and service more. Such sorting of people is highly beneficial from economic point of view. It also puts onus on the government to invest in and expand the existing public transport system. A passenger saves not only time but also get reliable service during the surge pricing. The critics argue that surge pricing unduly favors the rich and without it all passengers will be benefited. Without surge pricing reveals that there may be a significant short and long term supply and demand adjustments that are immediately obvious. The cab aggregators can afford to keep low base fare in comparison with radio taxis because they can kick in surge pricing when the demand goes up.

By banning surge pricing, the long term consequences of expensive taxi fares for everyone at all the times is not desirable. But the Delhi High Court had put a blanket ban on surge pricing in national capital region effective from 22nd August 2016 to prevent undue exploitation of the commuters by the aggregators. It asked them to comply with the fares fixed by the Delhi government. The court judgement comes on the heels of centre proposing Motor Vehicles (Amendment) Bill tabled in parliament to bring taxi aggregators under federal regulations like other taxi services a move

could result in fare capping as well. to prevent undue exploitation of the commuters by the aggregators. The companies have in turn threatened to take off their services altogether causing more hardship for the commuters. Hence there is no harm if cab aggregators follow the surge pricing. The Karnataka High Court has also imposed a similar ban against Uber and Ola. The Karnataka High Court in 2016 has held that the state government has the power to regulate the price charged by the cab aggregators after Uber had gone to the court challenging the rules framed by the state government for these services. The odd even policy in the national capital had encouraged people in the country to look for carpooling features of Ola and Uber which was again banned by various high courts including Delhi High Court. The step was taken to ensure the safety of the passengers, but not pooling the cars as this will increase the pollution not to speak of traffic congestion and parking problems. Uber has responded with upfront pricing as an alternative pricing strategy to counter the ban imposed by various high courts in the country.

Uber has been rolling out a new way to display fares for Uber X rides in the US and India. The latest version (Fig. 1) of the application seeks your destination and shows you the cost of your trip before you get into the cab; this feature will soon roll out in other countries as well.

The trouble is that it hides the surge pricing, the pop-up that displays the multiplier applied to your fare, because of increased demand at the time of booking. Uber has been testing upfront fares for a small segment of riders across five cities in India—New Delhi, Kolkata, Mumbai, Hyderabad, and Chennai, since June 2016. The company plans to roll out the changes to pricing in the application globally over the next few months, including other cities in India. In the

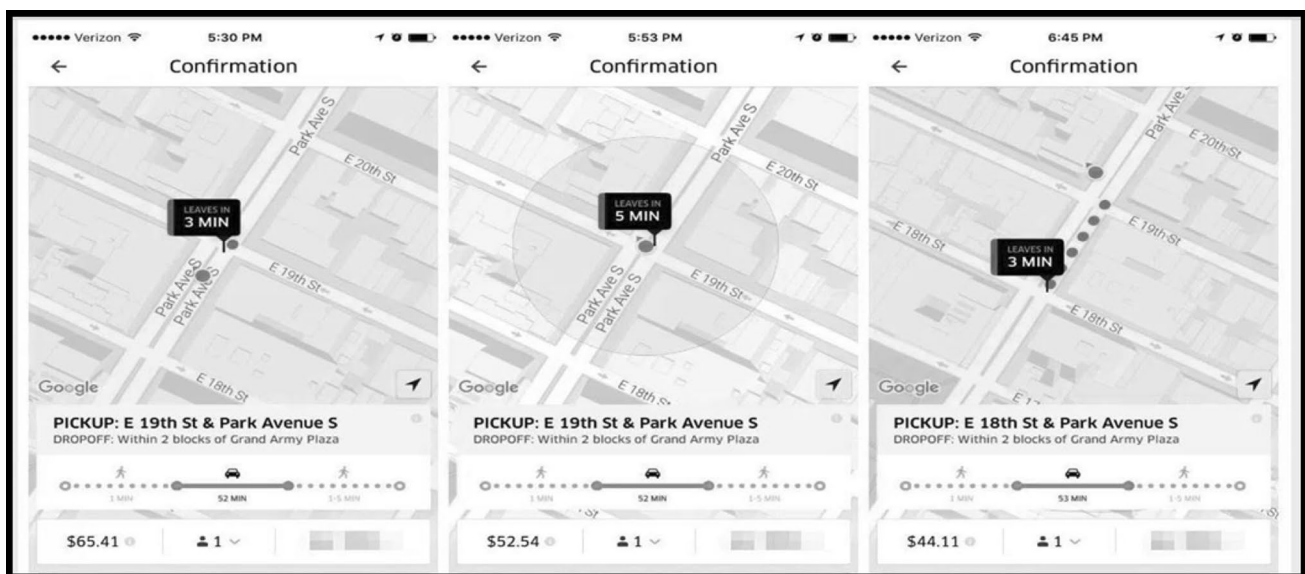


Fig. 1 Uber concealed pricing. Source: Retrieved (10 November 2015) from <http://www.qz.com>

US, the upfront payment feature is available in six cities—New York City, Miami, San Diego, Philadelphia, Seattle, and New Jersey. While booking the ride, customers had to mandatorily enter their destinations, which allowed Uber to calculate the fare in advance and show it to riders before they book their ride.

When fares increase due to rise in demand, instead of surge “lightning bolts” and pop-up screens, riders are given the total fare even before they request their ride. There is no complicated mathematics and no surprises—passengers can just sit back and enjoy the ride. With the upfront price feature surge remains a component of how a rider is charged for his, trip but will not see the surge multipliers and the icon in the application.

Given the high price elasticity of demand in the country, people feel cheated by the companies who charge more for the resources they can get at less expensive rates. This is well-known by all the companies who enter India. Competition does not only mean continuous lowering of the prices, there must be a competitor as well. In case of cab aggregators in India, Uber has disrupted the market with its pricing as low as Rs 6/km. This has put a dent on the functioning of other regulated players in the country like Meru, Ola, Radio cabs, and others. This could have been stopped at an earlier stage when Uber, with its heavy purse, was eliminating other competitors in the market in the name of healthy competition. In 2015, reports appeared of Uber having invested US\$1 billion in addition to US\$3.5 billion in the country by raising funds from various venture capitalists and private equity investors. And in April 2017, Ola has also upped the ante by raising funds of Rs 1675 crores or about US\$250 million from its investor Soft bank, to take on Uber. All this makes the customer a king and a slave at the same time. It also speaks volumes about the faith imposed by the investors in a business model, where firms tend to bleed for quite a longer period of time before they actually start posting some profits.

Uber affects globally

The actions of startups like Uber are affecting not only third world countries like India but even across the globe like in the US and the UK. Yes, they have made use of cabs very easy and safe for the commuters. They make the task of the driver simpler and asset utilization easier by efficiently tapping into real-time information and entrepreneurial drive of individual operators. In the modern idiom, they harness a distributed enterprise leveraging dispersed capital.

Uber is distorting the market (**Error! Reference source not found.**) in many ways in the UK and the US. First, there is a decline in the prices of taxi licenses and taxi medallions. Second, there is an increase in the number of

Table 2 Uber, vis-à-vis, Black Taxi Cabs in the UK (\$ 1 = £ 0.80 as of March 2018). *Source:* Retrieved (8 April 2017) from <http://www.taxifarefinder.com>

Airport transfer fares		
Uber versus Black cabs to Hampstead, London		
Airport	Uber	Black cab
Gatwick	£66	£146
Stansted	£60	£134
Luton	£52	£106
Heathrow	£40	£78
City	£25	£57

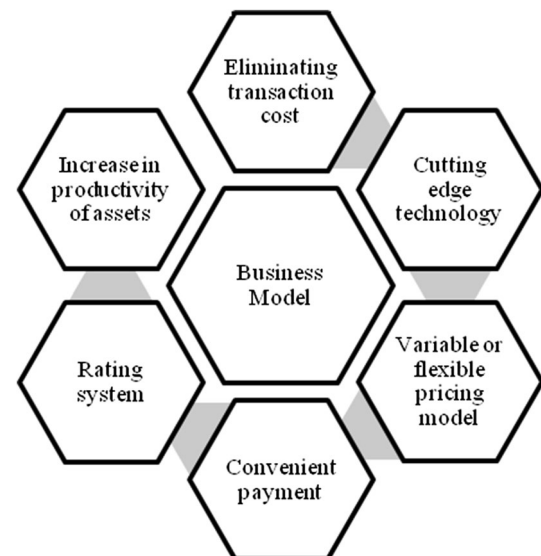


Fig. 2 Business model of cab aggregators in India. *Source:* Retrieved (15 March 2017) from <http://www.cleversim.com>

passengers and drivers. Third, the creation of a simple, convenient, and more efficient car-hiring service market is another reason for the same (Table 2).

This has led to innovation as well as disruption (Fig. 2) in the taxi industry. On one hand, the prices have come down drastically and on the other, Uber is also playing with the laws of the countries because of which it is facing legal battles around the world. Uber clashes with regulators in cities across the globe from Europe to North America resulting in a ban on the taxi application. This has shaken the market because of which existing taxi drivers are not able to make their living and cannot be part of Uber.

The technology employed by Ola and Uber have rubbed off on other service providers such as Meru, Radio taxi, prepaid taxies, etc. Now, there is a special application for autorickshaws as well. Uber is re-launching auto service in Bengaluru and Pune and gradual expansion in other cities to take on the home-grown player. Ola Auto is currently active across 73 cities with 1.2 lakh autos associated with

the company. Ola and Uber are competing in all segments of road transport ranging from a bike to a car.

Both the companies are taking different routes to create new supply. While Ola wants to get more cars on the road, Uber wants to stick to aggregation, albeit in a risky and radical format for India. Ola has bet big on its leasing unit, through which it buys cars and then leases them to drivers. Leasing cabs bring two main benefits to Ola: the drivers of the leased cars cannot switch to Uber's platform and Ola pays lower incentives to the drivers. Uber is taking a different approach. While the company has also set up a leasing unit, its big bet over the long term is to introduce peer-to-peer (P2P) cab hailing. Under this, any person who owns a taxi registration can sign up with Uber and ferry customers around either on a part-time or a full-time basis. The cab aggregators follow a unique price model (Table 3) in their service to the customers.

These are the factors which are responsible for putting various aggregators in India on a ventilator which is somewhat in favor of competition. Needless to say that other radio taxis have to compete with cab aggregators in terms of the evolution of technology and service. Take the example of the new entrant Reliance Jio in the 4G telecom space with deep pockets. This has put the incumbent players on the back foot and even forcing them to consolidate through a merger of Vodafone – Idea and also made them to adopt VoLTE (Voice over Long Term Evolution) services to join Jio. Otherwise exist like Aircel which recently filed the bankruptcy petition. The same logic can be extended to the radio taxis either to compete or perish in the market.

Table 3 Prices of different cab aggregators in India as on December 2016 (\$1=Rs 64.96 as of March 2018). *Source:* Retrieved (5 April, 2018) from <http://www.ridlapp.com>

Taxi aggregators	Base fare (Rs.)	Subsequent fare (Post 1 km) (Rs.)	Waiting fare (Rs.)
Top 6 Taxi applications for Mumbai			
	27	20	02
	70	10	00
	100	11	00
	27	20	02
	59	08	1.5
	90	22	2.2

The role of chauffeur

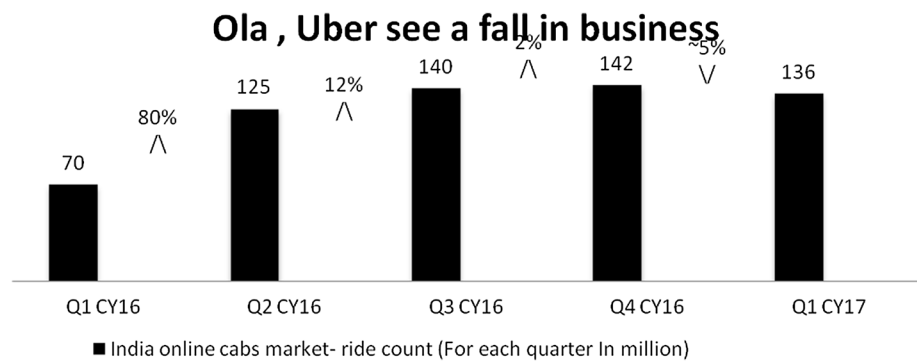
It is difficult to imagine the business of cab aggregators without dedicated drivers. He can make or mar the reputation of a firm with his service. Engaging the driver is the major task for the firms to sustain the business. A firm tries to make him hook to the job through extra monetary incentives provided he achieves the set targets. Surge pricing is like making hay while the sun shines. If the surge prices reach around three to four times of the base tariff that is to be charged, that amount goes in the pocket of the driver. That means, to earn more money they have to look for places where surge pricing is on. That is how demand is met with the supply. That is why more drivers are in favor of surge pricing.

Everyone wants to earn as much as they can. Should there be any cap on it? In order to earn more do they need to force themselves to accept more rides and jeopardize their health and customer's safety? Ola and Uber engage the driver differently. In case of Ola, there is no cap on number of rides and for Uber, the number of kilometers matter. It all depends on the driver: how much they want to dig in this gold mine? The highest number of drives that were taken by a single Uber driver was 4338 trips in a year in India. At one point in time, the companies were giving incentives as much as double the amount of their earnings to the drivers, more than that of an information technology (IT) professional in a multinational company. This led to a chain reaction as more drivers were attracted to Ola and Uber.

Currently, both the aggregators have changed this policy, linking it to the amount of money they earn in a single day. A certain number of trips is not essential now, what is important now is how much money they earn and on that, incentives are paid. The initial buzz and fanfare cannot go on forever as these cab aggregators need to protect their bottom line (Fig. 3).

The increase in the cost of operations outweighed the revenues, leading to the cutting down of incentives by the cab aggregators. It would not be surprising if with time incentives disappear completely or become difficult to achieve. If that is the case, it is tantamount to cheating of chauffeurs who were lured earlier with high incentives and easy car loans. With the fall in incentives, even banks are shying away. Both the chauffeur and company are interdependent on each other. They need to ensure complete harmony between them otherwise the customer will be in a fix.

Fig. 3 Fall in the revenue of cab aggregators. Source: *The Financial Express*, May 21, 2017, p. 1



Need for the regulation

The government has a crucial role in this type of “gig” economy. The introduction of a regulatory framework would help in reducing the headache of legal contests, not to mention give clarity to the various pricing policies being employed by these aggregators. It is ironic that the ubiquitous Indian three-wheelers known as auto rickshaws have to abide by the government regulated base fares and specified per kilometer rates, while the more prosperous cab aggregators can charge as they wish, free of any oversight. A business model cannot work without a proper regulatory framework putting courts in jeopardy. Transparency in surge pricing rather than arbitrary multipliers and concealed prices will go a long way in improving consumer sentiment. The government has an important role to play in bringing about this uniformity and predictability in the pricing policy of these companies. The Competition Commission of India (CCI) has started investigations into the surge pricing of cab aggregators. After investigating the unfair practices adopted by health care services, the pharma sector the CCI has brought cab aggregators under its scanner over surge pricing issues during 2018 to protect the interest of the common man. Of course cases were filed with CCI by rivals Meru against Ola and Uber for distorting the market and disrupting the market with foreign investors. Further, the laws governing employer-driver relationship, tax regimes, and local rules governing the business need to be looked at from a governance perspective. The European Court Justice has ruled that Uber is a transport company not a digital market place, hence should be regulated as transport service when drivers are not professionals and they are using their own vehicles. The Europe’s top court has ruled that Uber is a transport company, not a digital market place, and hence should be regulated as transport service especially when drivers are not professionals. The judgement came in 2017 after a case filed by Spanish taxi drivers who argued that Uber should be subjected to the same rules as normal cab players. The

EU’s court ruling applies to the member states has value for emerging markets like India.

Conclusions

There are two possible solutions with regard to pricing of cab aggregators. The first solution let government not to regulate the functioning of cab aggregators. The fittest will survive and compete in the market providing quality service to the customer. But the problem of lack of regulatory measures lead to judiciary complications in future as well. The second solution is the need for government control. Currently, the government is grappling with the latest algorithms and technologies being employed by these aggregators to come up with meaningful legislation or rules. The government to start with, can fix the maximum price that the cab aggregators can charge during peak hours. It needs to ensure more players enter in the market to prevent any kind of abusing monopoly power by Ola and Uber. The government of India is contemplating to enter in the cab market by launching ride-hailing app, which enables users to choose from two- wheeler taxis and electric cars. The decision of as many as 3000 drivers’ to start local cab service in Chennai from March 2018 to take on Uber and Ola would give further a boost to the competition. OTS cabs which is short form Ottunar Thorzhargal Sangam has started its operations by forming association with drivers. The OTS cabs will follow the standard pricing unlike Ola and Uber for different transport options such as auto, mini sedan, and SUVs. It is trying to operate more than 1800 cars in the city by offering handsome incentives to drivers who associate with it. The cab aggregators collect above 20% of the total earnings of the drivers as commission along with GST. The new taxi service will offer fixed pricing without any hidden charges. The other striking feature is that it charges commission as low as 7% on drivers’ earnings in comparison with 20% to 21% of other riding platforms. The drivers in Bengaluru are also seen leaving Ola and Uber to join the new platform ensuring more competition. Instead of multiple service apps, a single



comprehensive app on the lines of Trivago can help the customers to zero in on selecting the best available alternative. There is an immediate need to evolve a stable relationship between the company, the consumer, and the state for the benefit of all.

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